IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V
(Special Bench)

Item No.-206
CP (CAA) No.-40/230/232/ND/2022(2nd Motion)

IN THE MATTER OF:
Puresoftware Pvt. Ltd. And Puresoft Technologies Pvt. Ltd. **....Applicant**

SECTION
U/s 230-232 **Order delivered on 28.07.2023**

CORAM:
SHRI P.S.N PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CP (CAA) No.-40/230/232/ND/2022 (2nd Motion) is **allowed.**

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (T)

Sd/-
(P.S.N PRASAD)
MEMBER (J)

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V

COMPANY PETITION (CAA) NO. – 40/(ND)/2022
WITH
COMPANY APPLICATION NO. CA(CAA) 05/(ND)/2022

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT OF:

PURESOFTWARE PRIVATE LIMITED

...APPLICANT NO.1/DEMERGED COMPANY

AND

PURESOFTWARE TECHNOLOGIES PRIVATE LIMITED

...APPLICANT NO.2/RESULTANT COMPANY

Order Delivered On: 28.07.2023

CORAM:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. Ravi Sharma, Adv.

For the Respondent :

For the IT Department : Mr. Puneet Rai, Mr. Nikhil Jain Advs.

For the RD : Ms. Shankari Mishra, Adv.

ORDER

PER: SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

1. The present Joint Petition is filed by the Applicant Companies herein **PureSoftware Private Limited** (Demerged Company/Applicant Company No.1) and **PureSoftware Technologies Private Limited** (Resultant Company/Applicant Company No. 2) under Section 230-232 of the Companies Act, 2013 read with Rule 15 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Arrangement between the Demerged Company and the Resultant Company. The copy of the Scheme of Arrangement (hereinafter referred to as the "Scheme"), has been placed on record.

2. The Demerged Company/Applicant Company No. 1 i.e., M/s PureSoftware Private Limited is a private limited company incorporated on 04.04.2005 under the provisions of the Companies Act, 1956 vide CIN: U72200DL2005PTC134669, having its registered office at Suite 523, DLF Tower B, Plot No. 11 Jasola New Delhi- 11025, India. Thus, the registered office of the Demerged Company is under the jurisdiction of this Tribunal. The authorized share capital of the Demerged Company Rs. 3,62,20,000/- divided into Rs. 3,50,00,000/- Equity Share Capital into 3,50,00,000 Equity Shares of Rs. 1/- each and Rs. 12,20,000 Preference Share Capital divided into 10,000 Preference Shares of Rs. 122 each. The issued and subscribed and paid-up share capital of the Demerged Company is Rs 2,97,95,317/- divided into Rs. 2,96,73,317/- Equity Share Capital into 2,96,73,317 Equity Shares of Rs. 1/- each and Rs. 1,22,000 Preference Share Capital divided into 1000 Preference Shares of Rs. 122/- each.

3. The Resultant Company/ Applicant Company No. 2 i.e., M/s PureSoftware Technologies Private Limited is a private limited company incorporated on 21.10.2021 under the provisions of the Companies Act, 2013 vide CIN: U72900DL2021PTC388597, having its registered office at Suite 523, DLF Tower B, Plot No. 11 Jasola New Delhi- 11025, India. Thus, the registered office of the Resultant Company is under the jurisdiction of this Tribunal. The authorised share capital of the Resultant Company/ Applicant Company No. 2 is Rs. 1,00,000/- divided into 1,00,000 equity shares of Rs. 1/- each. The present issued, subscribed and paid-up capital of the Resultant Company is Rs. 1,00,000 divided into 1,00,000 equity shares of Rs. 1/- each.

4. The Applicant Companies submit that the proposed scheme of arrangement of the Demerged Company and Resultant Company would have the following benefits: -

    (i) To focus on core business i.e Software Development and Services Business Undertaking both in scale and operations.
    (ii) Providing better flexibility in accessing capital, focused strategy, global expansion and sustained growth;
    (iii) Creation of value for all stakeholders and shareholders
    (iv) Enabling better and more efficient management and control of Software Development and Services Business Undertaking.
    (v) Realignment and consolidation of its Software Development and Services Business Undertaking in Resulting Company in efficient manner and building strong capability to effectively meet future challenges and competitive business environment and segregating Software Development and Services Business Undertaking from non-core business
    (vi) More focused management and greater visibility on the performance and cash flows of individual businesses

(vii) Software Development and Services Business Undertaking has significant potential for growth. The nature of risk, competition, challenges, opportunities and investors profile for this Software Development and Services Business Undertaking is separate and distinct from the other businesses of the Demerged Company.

5. The appointed date as envisaged in the scheme for the proposed scheme of Arrangement was 01.04.2022. However, subsequently the petitioner companies moved an application bearing no. CA/385/2022 praying to amend the appointed date from 01.04.2022 to 01.04.2023. Accordingly, the application was allowed, and the appointed date i.e. 01.04.2023 is confirmed by this Tribunal.

6. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)05/ND/2022. Vide order dated 11.03.2022, the meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Demerged Company and the Resultant Company were dispensed with.

7. The Tribunal, vide order dated 10.06.2022, directed the Applicant Company to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies, NCT of Delhi and Haryana, and (iv) Official Liquidator.

8. The Applicant Companies were also directed to carry out publication in the newspapers. It is seen from the records that the Applicants have filed an Affidavit dated 12.08.2022, affirming compliance of the order dated 10.06.2022 passed by this Tribunal, and disclosing that the applicants have effected publication in “Business Standard” (English, Delhi Edition) as well as “Business Standard” (Hindi, Delhi Edition), both dated on 29.07.2022. In addition to the public notice, notices were served on the

Regional Director (Northern Region), Official Liquidator, the Income Tax Department and Registrar of Companies, NCT of Delhi and Haryana.

9. Pursuant to the notice issued to the Regional Director and Registrar of Companies, they have filed their response/reply in the matter.

10. It is seen from the Regional Director (RD's) report dated 23.11.2022, the RD has raised certain observations with regard to the proposed scheme of Arrangement among the Petitioner Companies vide his letter dated 06.10.2022 and in response to the same, the Petitioner Companies had filed reply dated 12.10.2022 wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

Observation of the Regional Director vide Letter dated 06.10.2022	Reply of the Petitioner Companies vide Affidavit dated 12.10.2022
1. Refer Clause 24 sub clause j (Para 6.1) of the scheme, upon scheme being effective the name of the Resulting Company shall be changed to "PureSoftware Private Limited" and Demerged Company shall be changed to "Pure Fintech Private Limited" or any other name as approved by ROC. In this regard, applicants may be directed to comply relevant rules and regulations regarding change of Name.	1. It is submitted that the Petitioner Companies shall comply with the relevant rules and regulations regarding the desired changes in the name of the Petitioner Companies as required under the provisions of Companies Act, 2013 along with all relevant approvals from the stakeholders.
2. Schedule of Assets and Liabilities being demerged may be provided.	2. It is submitted that the schedule of assets & liabilities has already been shared and submitted with the RD office on 30th August, 2022 along with reply to RD Letter No. 6/ 469/ T-1/ 2022 dated 10th August, 2022. The copy of acknowledgement of the RD reply letter along with the schedule of assets and liabilities are enclosed as Annexure A".
3. Statutory Auditor has prepared the valuation report in this matter, Rendering of such services is not permitted under Section 144.	3. It is submitted that pursuant to Section 144 of the Companies Act, 2013, with approval of Board, the statutory auditor many render such non-audit services being not covered in point no. (a) to (i) of Section 144 of the Act.

	It is further submitted by the Petitioner Companies that the professional services in relation to issue of fairness opinion on the recommended Share Entitlement Ratio for the proposed Scheme of Arrangement for the demerger of the 'Software Development and Services Business Undertaking' of the Company to Puresoftware Technologies Private Limited and related compliance services is not covered in the restricted list of services. It is further submitted by the Petitioner Companies that they have obtained approval from the Board of Directors of the respective companies for appointment of M/ s. G.C. Daga & Co., Chartered Accountants (FRN: 000668S) for providing the stated fairness opinion via the Board Resolutions dated 16th November 2021. The copy of the Board Resolutions of the Petitioner Companies are enclosed as Annexure B (Colly). Further, the Petitioner Companies have obtained an additional fairness opinion on the recommended Share Entitlement Ratio from an independent valuer i.e. M/S A A K G & Associates as well for your perusal indicating that the share entitlement ratio provided in the report is fair from a financial point of view to the shareholders of both the Petitioner Companies. It is submitted that the observations in the original report and the new report are consistent on the fairness of the share entitlement ratio. The copy of the new fairness opinion report is enclosed as Annexure C"

11. The Income Tax Department has submitted its report dated 15.11.2022 in respect of Demerged Company Puresoftware Private Limited (Applicant Company-1) wherein no specific objection was raised with respect to the

proposed Scheme of Arrangement between the petitioner companies. The Income Tax Department has submitted its report dated 30.09.2022 in respect of Resulting Company Puresoftware Technologies Private Limited (Applicant Company-2) wherein no specific objection was raised with respect to the proposed Scheme of Arrangement between the petitioner companies.

12. The petitioner companies have filed the affidavit-cum-indemnity bond dated 24.02.2023, whereby, the Applicant Company No. 1 and Applicant Company No.2 undertakes to pay tax demand, if any, that may arise on account of pending demands, on the Applicant No. 1 Company and Applicant Company no. 2 as per the order/demand of the Income Tax Authority.

13. Considering the reply of the Petitioner Companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present scheme of arrangement.

14. In this petition it has also been affirmed that there is no pending complaint against the scheme and no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

15. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Demerger is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

16. The shareholders of the Applicant companies are the best judges of their interest, being fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, do not ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

17. It has also been affirmed in the petition that the Scheme is in the interest of Demerged Company and the Resulting Company including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

18. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

    (i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

    (ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

    (iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other

charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

19. This tribunal further directs with respect to the Demerged company and the Resultant company, that:

(i) That all the property, rights and powers of the Demerged Company relating to the Demerged Undertaking, be transferred without further act or deed, to the Resulting Company and accordingly the same shall, pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Resulting Company on the appointed date i.e. 01.04.2023.

(ii) That all the liabilities and duties of the Demerged Company relating to the Demerged Undertaking, be transferred without further act or deed, to the Resulting Company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Resulting Company; and

(iii) That all proceedings now pending by or against the Demerged Company relating to the Demerged Undertaking, be continued by or against the Resulting Company; and

(iv) That all the employees of the Demerged Company relating to the Demerged Undertaking in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Resulting Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Demerged Company on the said date.

(v) That Applicant companies shall, within thirty days of the date of the receipt of this order, cause a certified copy of this order to be

delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged Undertaking of the Demerged Company shall be deemed to be transferred: and

(vi) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of on the above terms.

Let copy of the order be served to the parties.

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (TECHNICAL)

Sd/-
(SH. P.S.N. PRASAD)
MEMBER (JUDICIAL)